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What Should Mainstream Economists Learn from Feminist Theory?

I come to my role as a discussant for this volume with some hesitation. These chapters attempt to define a new approach to economics, informed by feminist theory. As an empirical labor economist who works predominantly in the mainstream tradition of economics, probably the best I can say to justify my role as a discussant is that I've read more feminist literature than most economists. But as anyone who knows the economics profession will realize, this is faint justification indeed. Such a claim can probably be made by any person who once glanced at a book in the women's studies section of the bookstore. I have read with interest, however, feminist scholarship in other branches of the social sciences, and I am deeply interested in the emergence of feminist scholarship within economics. My comments on this volume will give particular attention to the arguments in the chapters by Julie Nelson, Ann Jennings, Nancy Folbre, and Donald McCloskey.

In the time-honored tradition of placing one's biases up front, I should note that I come to this volume with a great deal of sympathy for what it is trying to do. I freely admit to dissatisfaction with some of the assumptions and applications of mainstream economics, dissatisfaction that is closely related to many of the issues discussed in this book. I came to economics out of an interest in social science and human behavior. Too often, during a seminar or a conversation with a colleague, I've suddenly realized with surprise, "He really *believes* all this stuff about individuals constantly making fully informed and rational choices accounting for all expected lifetime costs and benefits." It never occurred to me, even in graduate school, that this model was meant to be more than a partial picture of reality. It is perhaps a stereotypical female reaction to say that by the time I was old enough to be in graduate school the rational economic choice model just felt wrong for certain situations and problems. (Although I knew from late-night conversations with fellow graduate students that this reaction was surely not limited to women.) The analytical cleanliness and mathematical manipulability of the economic model, while enormously attractive intellectually, was never convincing enough to overcome my intuitive reaction: "This model should never be confused with reality." Thus, I continue to be somewhat amused and somewhat appalled when I meet those true-believer economists who think that they

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really understand human behavior because they understand the economic model of human behavior.

Unlike some of the authors in this book, however, I continue to find the economic model of choice-based behavior an extremely powerful and useful analytical tool. I place myself firmly in that group of female economists described by Marianne Ferber and Julie Nelson—"feminist empiricists" who believe that much of the problem in economics lies not with the model itself but with its interpretation and use. In other words, I have little difficulty using the economic model as an analytical tool in my own work, much of which is concerned with labor market behavior and the interaction between public policy and the labor market. I will discuss what I consider to be the real analytical attractions of the economic model of choice below. Yet I am critical of the way others use this model at times. Because economists are not trained to understand the limitations of their models, the choice model is too often used to draw sweeping conclusions from uncomfortably narrow evidence.

A Critical View of the Current Economics Profession

The authors in this book use feminist perspectives to criticize the economics profession in two ways. First, they detail the unique and important ways in which gender interacts with the economic structure of society. They argue that the economic decisions and constraints faced by women—the economic reality of their world—differ consistently and substantially from the economic reality faced by men. The authors claim that past and current economic analysis has, at worst, actively denied this fact, or, at best, ignored it or only partially attempted to understand it. This criticism applies not only to mainstream economics. Nancy Folbre shows how Marx and Engels devalued the role of gender in their analysis. Ann Jennings attempts to integrate a fuller understanding of gender into institutional economics.

The call to include the specific concerns of women and to be aware of the effects of gender in the economy runs through all of the chapters in this book. Other than noting that I am in strong agreement, I will say little more about this argument in these comments. In far too many cases, economists generalize about household and individual behavior from studies based on male behavior. There is substantial evidence that in many situations women face different constraints than men. In the standard economic model, this means that they will make different choices and face different outcomes. It is crucial that we understand the differences in the constraints that affect women's behavior if we want to claim to understand economic behavior in general.

The second (and much more important and fundamental) argument of the book, however, is the claim that economics needs to be redefined and reformed. The inadequacy of the economic treatment of gender issues is used to introduce a broader criticism of economics. As Donald McCloskey would say, in these chapters the treatment of gender in economics functions as a metaphor for a larger set of problems within the discipline. The authors call for reevaluation and revision of widely held assumptions about how economics is defined and about what good economic research should require. Hence, these chapters reflect the widely held view among feminist scholars that feminist theory is concerned with far more than gender issues and that it provides an alternative perspective on all aspects of social analysis. Writing from a feminist perspective, these authors argue for remaking the entire discipline of economics.

There is actually substantial agreement among the authors in this volume on the general nature of the changes that should be considered. I would broadly characterize these arguments by saying that the authors want to make economics a more *inclusive* discipline. They propose three particular ways of doing this.

First, several authors explicitly call for greater inclusiveness in the definition of economics. Julie Nelson and Ann Jennings both trace the historical development of the science of economics, indicating how the definition of the study of economics narrowed over time. They argue that economics has come to be defined as "the market." In fact, Nelson argues that the discipline has even, at times, come to define itself not by its subject matter but by its model of behavior: economics is "choice theory." Both authors argue that economic science should be broadened to include a wider range of issues. Nelson wants economics to be known as "the study of the basis of human material welfare," focusing on the "provisioning" of human life. Jennings calls for a redefinition of "economic" pursuits. McCloskey's discussion of the need to include women's home production in the measurement of gross national product echoes this same concern.

These authors are trying to develop a humanistic definition of economics as well. Nelson's attempt to define economics as concerned with human welfare encourages a communal perspective on the sharing of economic resources. The emphasis is shifted from efficiency to well-being and equity. This is in the philosophical tradition of Rawls, who argues that a society must consider the well-being of its worst-off member. It is in the public policy tradition which argues that the defining question for public policy should be "what does it do for the poor?"

Redefining economics, however, is only part of the challenge. These authors also favor greater inclusiveness in the methodologies economics uses to explore the world. Nelson argues that economic truth can emerge both from "rigorous" mathematical and logical analysis and from more intuitive ways of knowing. She refers to this latter form of reasoning as "reasoning beyond logic" or as "imaginative rationality." This is the primary point of McCloskey's chapter as well. He proposes a new term for what he seeks economics to be, a *conjective* science, which uses fact and logic as well as metaphor and story to develop its arguments.

Both of these authors emphasize this is not an either-or choice: fact and logic are informed by story and metaphor, and vice versa. They do not argue that economics should leave its mathematical equations behind but that it should include forms of proof that are not mathematical as well as those that are. From a feminist perspective, Nelson describes this as recognizing that there are both good and bad elements in hard "masculine" logic, and good and bad elements in "feminine" intuitive reasoning. Both are strengthened when they are used together to test and check one another.

The third way in which these scholars propose to change the structure of the discipline of economics is by moving away from individualistic models toward more inclusive models of human behavior. All of the papers in this volume criticize the focus of most of modern economics on individuals as separative selves who make autonomous decisions. Jennings wants to eliminate dualistic thinking that separates economic decisions from familial or public decisions. She wants to emphasize the shared cultural determinants of human behavior. Folbre questions the focus on public/private boundaries coming out of traditional Marxist analysis. McCloskey suggests that economists should recognize the fact that the world would be better if we all behaved as if we were from Iowa, i.e., as if we all had a sense of shared responsibility.

Criticism of the assumption of autonomous individuals within standard economic models is not unique to feminism. Other disciplines have long criticized economics for assuming preferences are fixed and separate across individuals. Models of human development in psychology often emphasize the dependence of individual decisions on the opinions of peers or older role models. Models of cultural determinism in sociology emphasize the role of group norms or ethnic ties on individual behavior. It would be interesting to see how a feminist model of personal interconnectedness differs from these other theoretical approaches, and also how it differs from the growing economics literature on altruism or linked preferences.

It probably does not need to be said that these proposed changes are fundamental and radical to modern economics. As Jennings notes, this is not just a call to "add women" to economic models; this is a call to change the whole structure of how economists think and how they conduct their research.

What's Missing?

These chapters provide some indications of how a restructured "feminist economics" might differ from the existing mainstream approaches. But a reader who hopes to glean a clear model of feminist economics from this book will come away disappointed. It is surely setting far too strong a standard to ask for a fully developed model at this stage of analysis. New paradigms are developed over time; they gain structure and complexity as more people become interested in them. Because scholars have just begun to apply feminist theory to economics, it seems somewhat churlish to complain that the full model isn't clear yet. But there are some crucial gaps in these chapters.

The feminist economics literature is too caught up in criticizing what it does not like in the existing work of the economics profession and has not yet adequately focused on clearly defining an alternative. Any new theoretical approach grows out of accumulated dissatisfaction with existing work. And it is perhaps a truism that it is always easier to criticize what you do not like than to construct it in a different way. But at some point, if a perspective is to gain long-term legitimacy, it must shift from criticism to construction.

I admit to some impatience, in particular, with extensive analysis of how the development of science went wrong in the seventeenth century with Descartes. There is an extensive and growing literature by feminist social scientists that analyzes the evolution of science across the past several centuries and points out how the individualistic, math-bound "masculine" approach to science has come to dominate and devalue the intuitive and inclusive "feminine" approach. Almost all of the papers in this volume reference and reiterate this literature. Let me be clear that I am not expressing impatience with critical historical analysis per se; in order to understand where we are now we must understand how we got here. But this sort of historical research is not going to produce a persuasive and usable model of feminist economics for the next generation of scholars.

Feminist scholars need to be explicit about what they would include in a broader definition of the "economic realm." They need to be explicit in modeling individual interconnectedness within families and within communities, to show how these models produce new insights for both macroeconomic and microeconomic behavior. They need to provide concrete examples of research that utilizes broader methodologies to produce more informative and more convincing empirical results than traditional economic approaches do. To gain wider interest and respect within the profession, feminist economists must move from historical analysis and general theoretical statements of principle to clearly constructed models of human behavior, whose implications and structure can be compared to existing models.

I was disappointed at how few attempts were made in this volume to provide actual examples of how a feminist focus on economic behavior would lead to new insights. If we redefine economics in the more inclusive way Nelson suggests, which issues would we look at differently? Are there examples where certain individuals are already pursuing such work? If we include more historical/cultural specificity in economic models as Jennings urges us to do, how would this change our view of economic behavior? How well do current attempts to link cultural and economic issues accomplish what Jennings wants to see done?

The only author who attempts to provide an explicit sense of how existing economic models would be changed with more feminist analysis is McCloskey. He cites several examples of how specific economic approaches (Becker's theory of the family, the valuation of life, the understanding of self-interested behavior) might change with more inclusive and feminist thinking. I found this among the most useful reading in the volume.

I was struck by the lack of examples in most of these chapters partly because I have a sense that a number of economic researchers are already trying to do what these authors are calling for. Let me give two examples. First, within the literature on poverty there has been a vast explosion of interest among both economists and sociologists in "neighborhood effects"—the effect of the attitudes and behaviors of one's neighbors on an individual's propensity to work, drop out of school, become pregnant, or use welfare. Such an attempt to study the links between economic and family behavior and social networks strikes me as very close to Jennings's call to link cultural and economic factors.[1] Second, there is a growing body of work on immigration that focuses explicitly on ethnic differences between different immigrant groups. This literature explores the overlap between ethnic background and economic opportunities, and the manner in which different immigrant groups enter and make their way through the U.S. labor market.[2] Such work surely reflects an effort to use a more inclusive definition of "economic influences."

I do not believe any of the researchers working on these topics would define themselves as "feminist economists," yet their approaches seem at least consistent with the desire expressed in this volume for more inclusive models of economic behavior. I would like to see those who want to pursue feminist models evaluate this existing literature and indicate how they would alter or add to it, or present their own examples of good feminist economic research.

The Strengths of the Mainstream Economic Model of Human Behavior

Despite ongoing challenges from many fronts, the mainstream model of rational choice behavior has proved to be remarkably durable. If

1. For instance, see the theoretical work by James Montgomery, "Is Underclass Behavior Contagious? A Rational-Choice Analysis," Center for Urban Affairs Working Paper WP-90-9, Northwestern University, 1990, or see the empirical work by Anne Case and Lawrence Katz, "The Company You Keep: The Effects of Family and Neighborhood in Disadvantaged Youths," National Bureau of Economic Research Working Paper No. 3705, May 1991.

2. For instance, see the recent book by George Borjas, *Friends or Strangers* (New York: Basic Books, 1990), or the research by Cordelia Reimers, such as "Cultural Differences in Labor Force Participation among Married Women," *American Economic Review* 75 (May 1985): 251–55.

feminist economists hope to make inroads against this model and implement the reforms they call for, they must confront directly the perceived strengths of the choice-based model of economic behavior.

I want to say a few words of support for individual choice models, perhaps a foolish task in this volume, but one I nonetheless think is useful. What is it that the rational choice model does well, which feminist models will have to deal with? Or, stated more personally, with all the problems I have with certain widely used assumptions within mainstream economics, why do I continue to utilize such models?

First, the mainstream economic model provides a null hypothesis: people's choices are based on informed, autonomous decisions made under the conditions of a competitive market. You might believe this extremely simple null hypothesis is wrong 98 percent of the time in the real world. I'd be sympathetic. But as an analytical device, a standardized and widely accepted null hypothesis is a wonderful thing to have. It is relatively easy to be clear in speaking to my colleagues about my assumptions in any particular piece of research: I am going to assume a lack of accurate information, the presence of uncertainty, the existence of monopoly, or the presence of discontinuous institutional constraints in the labor market. Even economists who believe that the assumptions of the simple model of economic behavior are unlikely to be true nonetheless find it a useful "defining device" they can evoke as a "base case," from which they then can develop more realistic variations.

Second, the mainstream model has powerful predictive ability in a number of situations that are common in industrialized societies. I do not have to believe that economic incentives fully determine behavior in order to believe that economic incentives matter at the margin for behavior. Even in situations where choices are extremely bounded, it can still be useful to analyze the situation as one where the participants choose the best option. It becomes an empirical question whether these choice effects are large or small.

I am particularly convinced of the usefulness of the standard economic model in which choice-based behavior responds to economic incentives for analyzing public policy questions. For a whole host of reasons, most industrialized societies have only a limited set of preferred public policy levers and these tend to be incentive-oriented rather than mandated. It is expensive to enforce behavior, and strong government mandates often go against the grain of democratic principles; thus most governments would like to run programs that will produce compliance without extensive monitoring. In addition, most industrialized societies are filled with individuals and families who have become "market-oriented" and who do see themselves as having choices over at least some range of issues. Thus, for many relevant policy questions, economic models are useful. What happens if the government cuts college subsidies to the middle class? What happens if Mississippi raises its welfare payments? What happens if legislation is passed to regulate automotive emissions?

I do not know of a better model than the standard economic model as a first-pass, simple, and reasonably reliable way to answer such questions in a consistent manner. Of course, the magnitude of response will vary among different cultures, different ethnic groups, different family settings, and different age groups. But that just says we should not assume the economic model gives us a complete answer, merely that it gives us a way to think coherently about some of the important responses with which we are concerned. The wise researcher will always be concerned about the interactions of his or her model with a broader range of variables, including race, age, gender, and ethnic background.

Third, with some hesitation, I will note as an advantage the ease with which the standard economic model can be directly translated into tractable mathematical forms. I say this with hesitation because I have real sympathy for McCloskey's description of the problems that such a link between economics and mathematics has generated. It has limited too many economic researchers to only those questions that can be tractably dealt with in elegant mathematics, so "interesting economics" becomes limited by mathematical rigor. But the fact that mathematical elegance has drawbacks does not refute the fact that it also has advantages. Cumulation of knowledge in the social sciences requires theoretical precision. Mathematical formalism is one way (though not the only way) to produce theoretical precision. As such, the high degree of mathematical rigor in economics creates a clear sense of what we know and what we don't know, at least within certain limits: We know which problems have been "solved" and which have not. This helps us to understand the current boundaries of the discipline and to evaluate the contribution of new research. The real sophistication we have gained over the last decade about the effect of imperfect information or future risk and uncertainty on the behavior of individuals and firms has been possible only because of the insights gained through abstract and formalized mathematical models.

In short, even as I agree with many of the limitations and problems that economics faces because of its insistence on a relatively simple underlying model of maximizing choice in competitive equilibrium, I also think it is important to recognize some of the real benefits that have emerged from that model.

Is "Feminist Economics" the Best Label for a New Economic Paradigm?

As noted above, the treatment of gender in standard economic analysis is used as a metaphor in this volume for a broader set of problems in economic theory. The authors argue that a new "feminist economics" could provide a better explanation of human behavior over a broader range of economic situations. I am somewhat more hesitant about the use of gender as the organizing principle around which the economic model can best be criticized. While I largely agree that economics has dealt rather inadequately with many gender-related issues, I am not persuaded that the most convincing criticism of economic models emerges from a feminist or gender-based lens.

Rather, the assumption that I find most problematic in the standard economic model is that in all cases *choice* is taken as the most useful characterization of how individuals respond to their social and economic environment. Our prototypical story about economic behavior describes an *empowered* individual. This is a person (male or female) who has a sense of choice in his or her life, who consciously seeks information on a broad range of subjects, and who engages in conscious and rational planning with the expectation that it will produce better results. In short, this is a person with a sense of control over his or her life, who perceives choices and acts on them. There is not a glimmer in this basic model that any individual might ever feel dominated, oppressed, passive, stuck, ill, unsure about his or her abilities, or unaware of alternatives. There is no recognition that many people in many situations will not perceive that any choices are available to them.

There is truth in the standard economic model, but it is only a partial truth. As a representation of white, middle-income persons in a democratic, industrialized, and Westernized society, it is probably a very good approximation of reality. It is really quite effective at predicting how people in these societies go about acquiring education, finding jobs, or responding to government policies. But the farther one moves away from empowered, in-control Westernized individuals, the less attractive this model becomes as a paradigm for individual behavior. People who study street-corner society in extremely poor urban ghettos will tell you that this is not how their subjects think about life; social workers who deal with abused women and children will tell you this does not describe their clients' behavioral patterns. This does not say the model is useless; it merely says that the choice-based behavior such a model posits may be more dominant in certain situations than in others.

At no point in the last two paragraphs have I made any explicit reference to feminist theory. Although these arguments could be developed out of a feminist perspective, they could be developed out of other psychological, sociological, or institutional perspectives as well. The inadequacy of economics in dealing with gender-related issues is only one aspect of the overall "partial truth" nature of the economic model of behavior. Just as this model has not always adequately described the full range of forces that motivate the behavior of many women, so it has inadequately described the full range of experiences of many low-income men, many nonwhite men and women, and many nonassimilated immigrants.

Thus, if we are to work on developing alternatives to the standard economic model—a task I strongly applaud—it strikes me as not necessarily useful to identify this alternative as "feminist." While recognizing that feminism involves far more than gender, the name still raises the presumption that gender issues are the predominant concern. I would prefer language that is open to a wider range of persons, who might share many of the feminist concerns with the current state of economics but who arrive at this point through a variety of nongender-related issues. In this way, I like McCloskey's attempt to coin a new word, conjective economics, to describe what is being done. I admit, however, that I don't like the term "conjective" itself. It isn't as resonant a term as I'd like and it conveys no sense of its meaning to the uninformed reader, but it does have the advantage of sounding quite "scientific," thereby soothing all those "masculine" scientific types who will be suspicious of this enterprise.

The Problems Faced by a Discipline with Only One Widely Used Model

The heavy reliance on a single model of individual behavior in economics has some real disciplinary advantages. It provides a strong sense of cohesion among economists, for we are all trained to speak the same language. It makes it easy to define the core economics curriculum for graduate study. It makes it possible to readily translate work across fields, applying developments in one area of economics to other areas. It may decrease some of the internecine feuding that goes on within any discipline. But there are also real costs associated with such heavy reliance on a single model. Even if I were entirely satisfied with the broad applicability of the standard economic model to a wider range of human behaviors, I still could see the advantages of some degree of theoretical diversity within the discipline.

Some will argue that the remarkable perseverance of the economic model as a tool used by economists is proof of its accuracy and reliability. But when one particular approach becomes predominant, its use can become self-fulfilling. If the "standard economic model" is what you must believe in order to do good (or at least disciplinarily acceptable) economics, then anyone interested in pursuing other approaches is by definition "not an economist" and is discouraged from entering the profession.

In introductory undergraduate microeconomics courses I have the sense that the following scenario is frequent: out of a class of one hundred students, ninety-nine will listen to the lectures and think to themselves, "Although interesting, this is sort of crazy; nobody really thinks this way." Those students do what they must to pass the course and forget it soon afterwards. But the one remaining person in that class lights up. This is almost always a male. He realizes this model describes the way that he thinks and acts. To that person, the economic model *is* intuitively obvious. It is that one person who is most likely to become an economist. Small wonder then that fifteen years later, sitting around the lunch table with a group of other similar selectively chosen economists, everyone believes that the standard economic model indeed describes how most people think about the world. It's certainly the way most people who choose to study economics think about the world.

I've recently started teaching an intermediate microeconomics class to a group of noneconomics social science Ph.D. students. These are not undergraduates coming to class without any patterned beliefs about human behavior. The class is a mix of people trained to think in terms of specific theories common in psychology, human development, and sociology. They find the economic model extremely interesting, but none of them find it very plausible. It turns on no light bulbs in their heads—they do not think this way nor do they believe others think this way. They can recognize the usefulness of the model, and I can get most of the class to "think like an economist" about the effects and implications of policy changes. But they are really baffled when confronted with a reading from one of the economic "true believers," someone who thinks this model accurately describes the core aspects of a wide range of human behavior. They come to discussion section with a list of alternative theories of human behavior and ask, "How can economics ignore these other perspectives?"

The danger of having a discipline centered around only one model of behavior is that there is little incentive for anyone within that discipline to explore beyond that model. There is no encouragement to read theories of adult development and aging or to be familiar with ethnographic descriptions of particular communities. The discipline limits the wisdom it allows itself to use by providing no reward to those who seek additional sources of knowledge. There is little to be lost and potentially much to be gained if the economics discipline were to accept a wider range of theoretical and methodological approaches as valid forms of economic inquiry.

This volume presents some beginning attempts to move economics toward a more diverse set of models. Through feminist theory, the authors argue for making economics more inclusive, both in its theory and in its methodology. These authors argue that there are many paths to truth, and that economics would be better off if it recognized and encouraged more of those paths. While I do not think that "feminist economics" is yet at the point where it provides a usable alternative model of economic decision-making, I strongly support the effort of this book to push the discipline into broader ways of thinking and doing economics.